



**1.****Issues and areas for discussion include**

Introduction	• definition of market forces • distinction between insurance-based and tax-base systems • importance of the NHS 'free at the point of use' principle.
Developing the response to the question (Application)	• use of theory (monopoly, competition, efficiency) • discussion based on information from the data related to eg • practice in France • practice in Germany • practice in Spain • coordination across the EU (The EHIC) • US views of the 'European Model' • charging • internal markets • public-private partnerships.
Developing the response to the question (analysis)	• the nature of health services ◦ degree of monopoly; contestable markets ◦ imperfect/asymmetric information ◦ externalities • arguments for markets, eg ◦ rationing/signalling ◦ choice ◦ de-centralisation ◦ opportunity costs ◦ efficiency. • arguments against, eg ◦ market failure, externalities ◦ merit good ◦ income distribution ◦ imperfect information ◦ needs and wants ◦ economies of scale.
Evaluation	• efficacy of privatisation • critique of idea of increased choice for patients/competition between providers • bureaucracy of health reforms, eg doctors having to spend time commissioning services • comments on alternative arrangements, eg the German split between public, private, not-for-profit • possibility of 'cherry picking' by the private sector • NHS having to underwrite the private sector's errors, eg recent cases of implants • possibility that insurance leads to unnecessary procedures • economies/diseconomies of scale in the NHS • outcomes and results of PPPs • does the 'ownership' of assets and resources matter more than outcomes? • market failure versus government failure

	possibility that innovation in health care comes from government funded investment rather than private sector investment. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
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Also give credit for	- diagrams - an overall judgement on the issues raised.
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It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above.

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**2.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• types of government action, eg: ◦ fiscal / taxes, welfare, payments in kind ◦ legislative, eg: • NMW, anti age / sex / racial discrimination • supply side policies: qualifications / life chances • ad hoc measures, eg 'supertax' on bank bonuses • general policy options, eg progressive versus regressive taxation • definitions of income, wealth, market forces
Developing the response to the question:	• consequences of market forces, eg: ◦ positive : efficiency, adjustment between emerging and declining industries; incentives, enterprise ◦ negative: inequality, poverty ◦ winners and losers ◦ trickle down • arguments for government action, eg: ◦ imperfect labour markets ◦ efficiency arguments, eg supply-side policy ◦ demand side policy ◦ the government is itself a major employer ◦ equality and aggregate demand. • arguments against government action, eg: ◦ government failure ◦ trade offs between incomes and employment ◦ costs of intervention, eg burden on the taxpayer / government debt ◦ savings, incentives.
Evaluation	• efficiency versus equity • the fairness and justice of reliance on markets (eg costs and benefits might accrue to different people / groups / firms) • relationships between equality and wider economic / social variables (as hinted in the quotation) • do market forces widen or reduce inequality? • market failure and government failure • greater case for targeting income or wealth? Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons.

	However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and / or give economic reasons for justifying a course of action.
Also give credit for:	• reference to the UK and / or other economies • diagrams • an overall judgement on the issues raised

[25]

**3.****Issues and areas for discussion include:**

Introduction	• details of inequalities • the distinction between income and wealth • progressive, proportional and regressive taxation.
Developing the response to the question: Application / Analysis	• the relationships between income and wealth • examples of taxes on income and wealth • ways in which income affects wealth and wealth affects income • horizontal and vertical equity in the taxation of income and wealth • the use of taxes for re-distribution purposes • the effects of various taxes on income and wealth distribution • influences other than taxes, e.g. the provision of public services free at the point of use • ways in which taxing income affects income • ways in which taxing income might affect wealth • the concept of 'ability to pay' • the idea that progressive income taxes reduce incentives • demand side effects, supply-side effects.
Evaluation	• market forces versus government intervention • different treatment of income and wealth • income is not just wages: also rent, interest, profit • consideration of the claim for progressive income taxation made in the question • critique of various 'theories' such as 'trickle down' • reference to claims about relative success of more equal societies • strengths and weaknesses of alternative methods of redistribution, e.g. education and training, min wage. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• relevant use of examples • diagrams • an overall judgement on the issues raised

[25]

**4.**

Define or explain inequality, eg in terms of unequal absolute / relative distribution of income and wealth and / or distinguish between income as a flow concept / reward to a factor and wealth as a stock concept / an accumulation of past savings out of income.

Explain causes, eg

- (Income) differences in earnings between households can arise due to eg fulltime / part-time work, male / female earnings qualifications and skills required, the economic significance of the industry.
- (Income) marginal revenue product and / or labour supply and demand
- (Wealth) differences in wealth between households, eg due to inheritance
- (Income / wealth) regional differences, eg due to industrial history, locational factors
- (Income / wealth) influences of the state, public services, taxation and benefits
- (Income / wealth) unemployment, old age, disability, single parenthood, home ownership, discrimination etc.
- (Income / wealth) the argument that wealth begets income and vice versa.

Maximum of 10 marks for causes if there is no reference to both income and wealth in this explanation.

[15]**6.**

Explanation:

Explain (eg define / describe) wage differentials

- eg in terms of the payment of a different wage rate (or price of labour) to different groups of workers, and / or between individual workers within the same occupational group

Analysis:

Analyse **two** reasons for wage differentials, for example:

- differences in the supply of labour such as inter-occupational skills, training, responsibilities and elasticity of supply
- differences in the demand for labour (derived demand)
- differences in inter-industry marginal revenue productivity
- growth rates/competition between industries (eg the media are a growth industry, the DG of the BBC claims he could earn more elsewhere)
- regional differences/differentials encourage mobility
- non-market factors, eg government intervention, trade unions, professional groups
- discrimination.

[9]

Issues and areas for discussion include:

Introduction	• definition of income • examples of minimum entitlements (eg minimum wage, universal benefits) • examples of 'hindrances', e.g. poor education, health, life chances; 'postcode lotteries.'
Developing the response to the question: Application	• use of theory • discussion based on information from the data related to fairness, e.g. distribution facts and figures (Extract D, lines 7-12)
Developing the response to the question: Analysis	• policies aimed at re-distribution, examples, effects, eg ◦ progressive / proportional / regressive taxes ◦ universal benefits ◦ EU social policies. • role of other policies, examples, effects, eg ◦ minimum wage ◦ anti-discrimination laws. • policies aimed at 'obstacles', examples, effects eg ◦ access to education / training ◦ social housing ◦ health care ◦ EU cohesion policies, e.g. skills training, business advice
Evaluation	• what is fairness? • conflict between policies, eg ◦ income tax: redistributive or disincentive? ◦ supply side / demand side • 'trickle down' arguments • idea of 'multiples' in public sector; appropriateness for private sector? • maximum wage idea • difficulty of defining 'fairness' • is it a question of either / or? Can different types of policies complement each other? <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

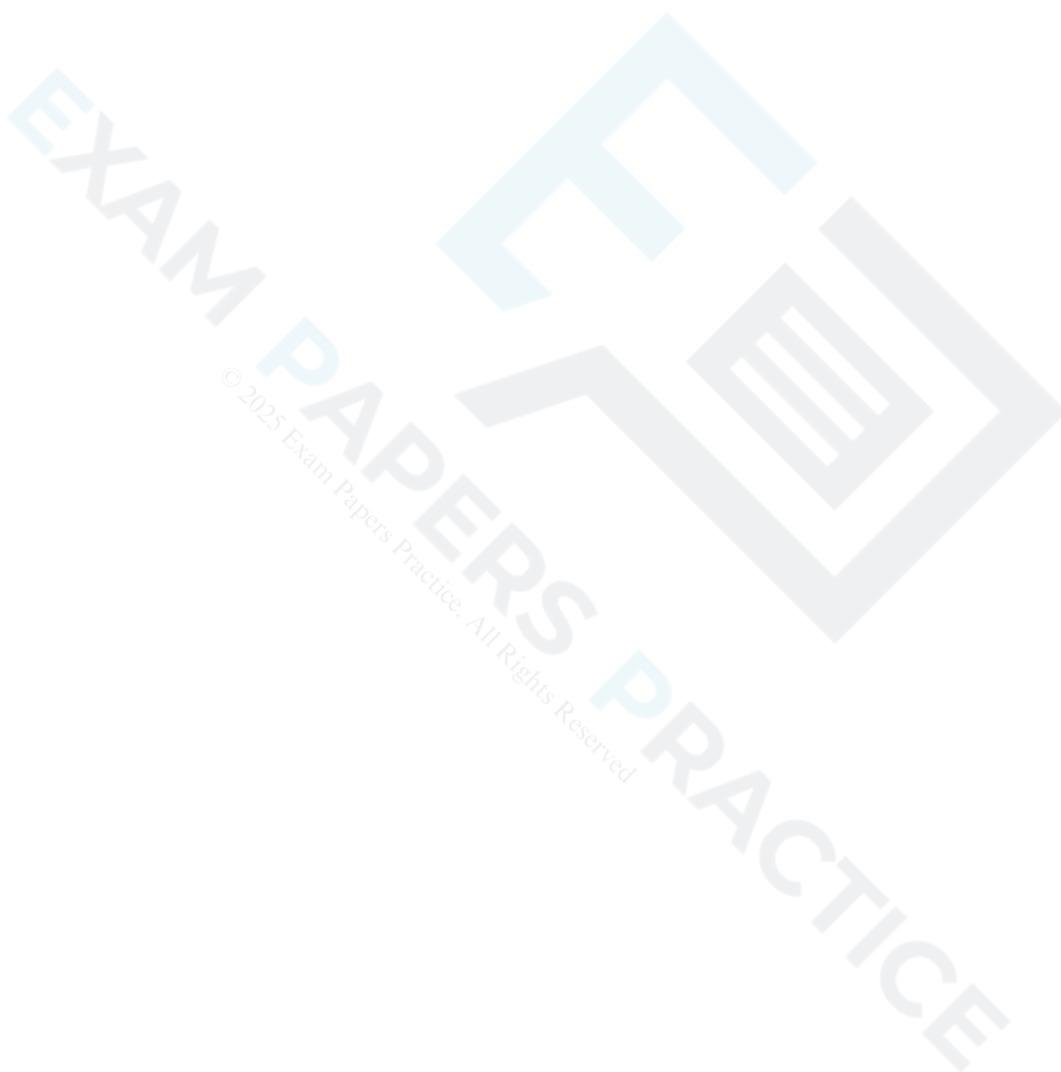


Also give credit for

- relevant use of evidence and examples not contained in the data
- diagrams
- an overall judgement on the issues raised

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]





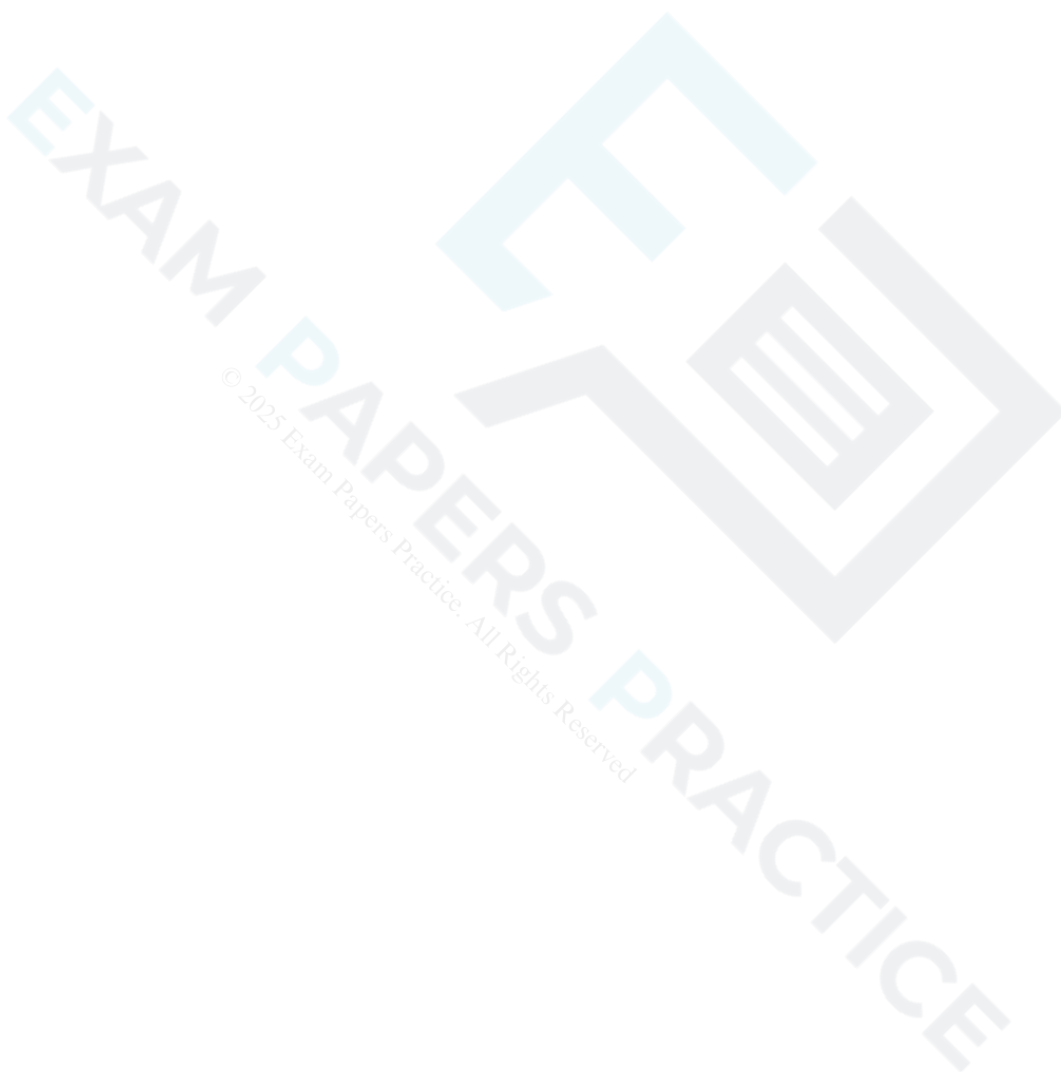
9.

Issues and areas for discussion include:

Introduction	• meaning of 'differentials' • measurement of inequality • types of intervention (eg min/max wage).
Developing the response to the question Application/ Analysis	Application • candidate knowledge of, eg • inequality in the UK • recent issues, eg 'bonus culture' • the argument that inequality is economically dysfunctional. Analysis • arguments in favour of differentials, eg ◦ incentive arguments ◦ trickle-down ◦ encouraging enterprise ◦ encouraging work rather than welfare promoting efficient resource allocation • arguments for government action ◦ market failure ◦ counter-arguments to trickle-down ◦ general disadvantages of inequality (micro/macro). • examples of government action affecting equality, eg ◦ income/wealth taxes ◦ encouraging/discouraging a bonus culture ◦ minimum/maximum wages/ratios between top and medium pay • effects of government action, eg on patterns of spending (synoptic macro point: mpc and mps of low/high income groups) • the role of the government as an employer.
Evaluation	• overall assessment of whether inequality is 'good' for the economy • possible economic disfunctions of inequality (eg negative externalities, social costs, inflationary pressures, recession) • costs versus benefits of government action/inaction • equality of opportunity versus equality of outcome • equity, efficiency • market failure versus government failure • long run versus short run. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised. • examples.

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[25]



Issues and areas for discussion include:

Introduction	• Meaning of a 'less equal society' • Measurement of inequality • Examples of government action resulting in inequality, eg ◦ regressive taxes ◦ reducing inheritance taxes ◦ encouraging a bonus culture ◦ removal of universal benefits ◦ raising entry barriers (eg. tuition fees) ◦ reducing the 'social wage' (reducing or slowing down increases in spending on public and merit goods) ◦ equality of opportunity/equality of outcome.
Developing the response to the question Application/ Analysis	• Benefits of inequality, eg ◦ incentive arguments ◦ trickle-down ◦ encouraging enterprise ◦ encouraging work rather than welfare ◦ impact on saving and investment • Costs of inequality, eg ◦ social cost, unrest, riots ◦ waste of talent ◦ lack of safety nets ◦ wider costs, correlations between inequality and wider economic and social issues ◦ macro effects of inequality and insecurity (synoptic points), eg ▪ downward multiplier ▪ boom and bust ▪ national income and welfare ▪ impact on output of policies to promote equality/inequality.
Evaluation	• questioning of individual alleged benefits, eg do managers receiving annual 'compensation' measured in millions really have an 'incentive' to improve efficiency? • questioning of individual alleged costs, eg is social unrest caused by inequality as such, or by unreal expectations or simple greed? • overall assessment of costs versus benefits • question of whether 'inequality' is an actual 'aim' of policy • for and against 'trickle down' ideas • impacts depend on the extent of inequality, time periods. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised • examples.

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11.

A relevant explanation or definition of absolute poverty, eg in terms of a lack of access to a recognised minimum amount of resources. An example of a criterion, eg 'living on a dollar a day'. For contrasting 'absolute' with relative.

Analysis of the links:

For example:

- ownership of water resources gives a source of income and wealth to those with the property rights since the water can be traded or used in production eg in agriculture or industry
- in turn, people with more income and/or wealth are more likely to have access to water than poorer people because they have a greater ability to pay
- richer countries can afford to invest in the necessary infrastructure such as reservoirs, pipelines
- irrigation improves the land and enables countries to lift themselves out of subsistence agriculture
- access to cheap clean water reduces the cost of living and boosts real income.

Making appropriate use of diagrams, eg supply of and demand for water.

[9]

Issues and areas for discussion include

Introduction	- Definitions, examples: - Incentives - Disincentives - Labour market
Developing the response to the question: Application / Analysis	Application - Ways of assessing 'fairness' - Equity and equality - Equity and efficiency - Ways of intervening in labour markets, eg - Incomes policies - Minimum and maximum wage rates - Progressive, proportional, regressive taxation - Anti-discrimination legislation - Supply side policies 'Thatcherite' - Third Way - Measures for occupational and geographical mobility Analysis - Fairness in terms of - Income distribution - Wealth distribution - Relationships between income and wealth - Horizontal and vertical equity - Taxes and benefits - Reasons for taxation - Allocation (revenue raising) - Stabilisation (macro objectives) - Distribution (Progressive/proportional/regressive taxation).
Evaluation	- Difficulties of defining fairness - Are economists qualified to assess justice and fairness - Are unequal societies necessarily unfair (is fairness the same thing as equality?) - Is unfairness economically functional or dysfunctional (drip-down versus 'all in this together') - Possibility of labour market failure, and government failure in labour



	markets Relative efficiency of different types of intervention. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	- Diagrams - An overall judgement on the issues raised - Examples.

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[25]

15.

- **Distinguishing between equity and equality**, eg basic definitions of equity (to do with 'fairness'), equality (to do with reducing 'differentials'/increasing opportunities/affecting outcomes).
- **Vertical equity**: The treatment of people in different income and wealth positions. Taxes can be progressive proportional or regressive. Switch to VAT is likely to be regressive because, assuming a wide range of goods and services are taxed, and as a general rule consumption expenditure represents a decreasing proportion of income the actual amount of tax paid will increase with expenditure but fall as a percentage of income.
- **Horizontal equity**: The treatment of people in similar earning positions. Policy effects depend on, eg the 'universality' or otherwise of the VAT, and whether, say, 'luxury' items can be identified and taxed at higher rates.
- **Equality**, eg it could be argued that the switch will affect life chances of both the better off and less well off by increasing 'incentives', and hence affect equality through trickle-down; or that the regressive nature of the switch and the resulting inequality is economically dysfunctional and will cause further inequality; or that the effects are neutral, and wealth taxes would have greater effects on equality than tinkering with income and expenditure taxes.
- Use of diagrams to help support explanations.

[15]

Candidates can approach the question with a focus on the UK government or government in general. Either approach can gain full marks.

Issues and areas for discussion include:

Introduction	- Definitions/descriptions of, eg - absolute poverty - relative policy - welfare benefits.
Developing the response to the question (application)	- Comments from own economic knowledge or based on the data, eg - further comments on Extract A (international comparisons) - various reasons for poverty (Extract B), eg - child poverty - working poverty - labour market failure: lack of earning power due to skills, etc - trade unions in the labour market - dependence on state benefits to subsidise low wages - poverty and pensions (Extract C) 'social costs' of inadequate pensions (Extract C) - policies of other countries (Extract C).
Developing the response to the question (analysis)	- Re-distribution (taxes and benefits) and 'pre-distribution' (education, training, skills, life chances). Note; the phrase 'pre-distribution' need not be expected - Relationships between benefits and poverty - Low wages and poverty - Examples of policies on the supply side of the labour market, eg - education and training - minimum wage/living wage 'workfare' - Example of pensions as a merit good - pensions are not a public good, but they could be treated as if they were: arguments for/against - externalities imply under supply/under consumption, and an argument for direct government provision or subsidy.
Evaluation	- Different policies for the state sector and private sector - External influences, eg life expectancy, policies to balance government budgets, high income countries and low income countries - Spending on education and training: consumption or investment? - Market failure versus government failure, eg - poor/asymmetric information - markets tend to assess what is happening now, and are not good at looking ahead - governments can look ahead, but can make incorrect assumptions, or come up with inaccurate forecasts. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>

Also give credit for

- Relevant diagrams
- An overall judgement on the issues raised.

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[25]

17.

Level of response	Response	Max 15 marks
3	A good response provides an answer that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11-15 marks
2	A reasonable response provides an answer that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6-10 marks
1	A weak response provides an answer that: • has one or more relevant issues identified • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1-5 marks



Relevant issues include:

- likely to increase the pay of the lowest paid employees
- the effect on the distribution of income
- the effect on employment and unemployment
- the effects on different types of workers
- the effects in a competitive labour market
- the effects in a non-competitive labour market
- the effect on firms' costs, profits and competitiveness
- the effect on productivity
- the effect on growth
- the effect on motivation, absenteeism and labour turnover
- the effect on inflation
- the effect on competitiveness and the balance of payments
- diagrammatic representation of the likely effects

[15]

18.

Relevant issues/logical chains of analysis include:

- relevant explanation of market failure, e.g. in terms of markets failing to achieve socially optimum price or output
- there is a lack of consumer information . Consumers do not know when they are likely to need a pension. They might have a high rate of time preference, i.e. prefer current consumption to saving for future consumption, because pensionable age seems a long way off
- asymmetric information between consumers and pension providers (mis-selling of inappropriate pension products)
- strong externalities give pensions some characteristics of merit goods; there is an argument that they are more efficiently provided by the state
- inability of insurance-based pension providers to produce results in adverse economic conditions; e.g. falling pension fund returns due to low interest rates
- failure of occupational pension schemes due to weak regulation, the raiding of pension funds by directors during hard times
- appropriate use of diagrams, e.g. marginal private benefit, marginal social benefit

[9]